

to this agenda for post-2014 reforms as Reforms 3.0 or even Third Wave of Reforms. What does it mean? Some say it is about reforms in governance, including judiciary. Some say it is formalisation of the economy, which means, thanks to ILO, formalisation of informal enterprises and informal jobs. Others have included in this agenda steps for extension of taxation nets/base, digital modes of payments, etc. Still others like to include the formalisation of shadow economy.

Many reforms were carried out since 2014, Goods and Service Tax being the major one. Monetary Policy Committee was instituting by amending RBI Act in Finance Act of 2016 and is a major step in monetary management where three members are nominated by Government of India.

Though there is no agreement on clearly marking of generations of neoliberal reforms yet there is some convergence. Some would include social security measures and some would include the local government reforms, which have little to do with neoliberal strand. Analytical clarity is lacking in the area. Yet, roughly speaking, first, second and third generation reforms can be associated with executive, legislative, and governance actions.

Check Your Progress 6

- 1) Distinguish between first generation reforms and second generation reforms.

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- 2) Explain the meaning of formalisation of economy.

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7.8 LET US SUM UP

Indian economy is said to have embarked upon reforms in 1991 though it is acknowledged that a few steps towards present genre of reforms were taken in 1980s— in the wake of conditionalities agreed for a whopping SDR 5.0 billion of loan from IMF in the first half of 1980s. It must be noted that economic reforms carried out in 1950s were quite different in content, orientation and objectives than those which had to be carried out since 1991. There are several ways of distinguishing them. In this unit, they have been distinguished as equity-seeking reforms and efficiency-seeking reforms. Reforms in the post-1991 context are recognised as neoliberal in political terms and market-oriented in economic terms.

A background of policies pursued during 1950-80 is discussed in a way that they present a contrast to the direction taken up thereafter. Our colonial past, huge economic disparities, ideological thinking of the times, nationalisation of industries in the West and success of development planning in the USSR had largely guided our course of economic policy in those days.

Despite improvement in growth performance in the decade of 1980s, the macroeconomic fundamentals were mismanaged and Gulf War of 1990 precipitated the economic crisis at home. By now, mandate of IMF had changed in view of breaking-up of Bretton Woods system of fixed exchange rate and it was seeking more fundamental reforms than just devaluation of currency to correct persistent BoP deficit. IMF-World Bank combine was clear about the direction of change in domestic policies. The domestic economic thinking was also slowly converging towards the same.

Some immediate steps were taken like devaluation of rupee much before IMF loan was agreed upon or enunciation of new industrial policy. Some Committees were immediately set up to suggest course of reforms to be taken up in due course. But Indian economy chose its own pace and sequencing, being careful that reforms have 'human face'.

Trends in macroeconomic stabilisation policies are illustrated under captions of fiscal reforms, monetary and financial reforms, and currency exchange reforms while those of microeconomic structural adjustments are discussed under liberalisation of business, privatisation of public sector units and disinvestment, and globalisation of the economy.

A categorisation of reforms in terms of their content and objectives has been provided in terms of identifying different generations or waves of neoliberal economic reforms.

7.9 TERM- END EXERCISE

- 1) Discuss the nature and features of neoliberal reforms.
- 2) Differentiate between intervention of restriction and that of liberalisation.
- 3) What do you mean by disinvestment? Why should ownership of a public sector undertaking be diversified?
- 4) Delineate characteristics of macroeconomic stabilisation reforms.
- 5) Approach to define formalisation of an economy.

7.10 KEY WORDS

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| Disinvestment | : Selling government equity in a public enterprise to a private or public enterprise whereby sale proceeds are appropriated by the Government as non-debt creating capital receipt. |
| Economic Reforms | : Correcting mismatch between instruments of intervention and objectives in economic affairs of a country by the government. |

Financial Reforms

- : Improving the nature of interventions in financial markets comprising banks and non-bank financial institutions as well as stock market so as to meet the desired level and composition of savings and investment. It may involve regulatory framework.

Fiscal Reforms

- : Correcting interventions in tax- and non-tax instruments, expenditure pattern, and debt mix in a way that they meet the fiscal objectives of the government.

Globalisation

- : Opening economy for trade and investment by relaxing restrictions of movement of goods, services, capital and intellectual property.

Liberalisation

- : Relaxing the restrictions imposed on carrying out business operations.

Nationalisation

- : Acquisition of a private enterprise, in part or full, by a government.

Privatisation

- : Sharing ownership (or management) of an existing public sector enterprise with private parties or completely selling public assets.

Stabilisation Programmes

- : Interventions that improve stabilisation parameters of fiscal balance, balance of payment, price inflation, and unemployment.

Structural Adjustment Programmes

- : Interventions that lead to reduce market distortions—basically, price distortions.

7.11 REFERENCES

There are several sources related to this topic—some explaining, some supporting, some opposing, and some critiquing economic reforms in general or particular reforms or in relation to Indian economy. Any good book on Indian economy would provide the facts. The World Bank and IMF websites would also be good sources to help one understand the direction of reforms that have been suggested, if not imposed, by the duo. Yet, one would greatly benefit from

- 1) Bhaduri, Amit and Deepak Nayyar, (1996). *The Intelligent Person's Guide to Liberalisation*, New Delhi: Penguin.
- 2) McCartney, Matthew, (2016). *Political Economy, Growth and Liberalisation in India 1991-2008*, Routledge.
- 3) Mohan, Rakesh (edited), (2017). *India Transformed: 25 Years of Economic Reforms*, Penguin Random House.

Some websites such as rbi.org.in and indiareforms.csis.org and several entries under Wikipedia could be consulted for developments in areas related with economic reforms.